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Japan Consumer

Japan Retail (1): After the Long Winter, Japan Domestic Retail at an Inflection Point

Yugo Shima
+81 3 6777 6994
yugo.shima@bernsteinsg.com

Ran Yang
+852 2123 2658
ran.yang@bernsteinsg.com

For years, investors looked at Japan's domestic retail sector like an overpicked orchard—assuming every tree had already been harvested and nothing meaningful would grow again. But a long winter had been quietly thinning the forest: weaker trees withered, survivors hardened, and space gradually opened beneath the canopy. Now, as the frost lifts, sunlight is finally reaching the ground.

Japan's domestic retail sector is approaching an inflection point toward accelerated consolidation. Japan's domestic retail sector is widely viewed by global investors as a market "already talked to death"—defined by population decline, limited growth, and stalled consolidation. The so-called "Lost 30 Years" also functioned as a prolonged deflationary filter, where excess capacity persisted—store density remains among the highest in the developed world—while weaker operators gradually exited and survivors embedded efficiency into their operating models. That process is now reaching an inflection point.

The case for consolidation is no longer cyclical but structural. Supermarket operating margins of ~1.5% sit against personnel cost ratios of ~14%, an equation that has become untenable as minimum wages have risen over 30% since 2015, far outpacing CPI growth of ~10%. The traditional pillars that allowed fragmentation to persist—in-store fresh processing, geographic isolation, and reliance on non-regular labor—are now eroding simultaneously. Smaller players, lacking the scale to invest in automation and centralized processing, are increasingly disadvantaged. While Western Europe and the U.S. completed consolidation decades ago, Japan is now entering the "middle innings," with a clear path toward higher concentration levels over the next decade.

Consumer behavior has bifurcated in a way that structurally disadvantages legacy formats, particularly GMS, and favoring discounters and drugstores. The modern Japanese consumer oscillates between weekday "utility" purchases—quick, functional spending at drugstores—and weekend "treasure-hunt" consumption at discount retailers. This split leaves little room for middle-of-the-road formats. GMS, once a one-stop solution, has been steadily hollowed out as specialty retailers and more focused formats capture category share. The result is a format that struggles to define its value proposition, increasingly resembling a "zombie"—operationally present, but strategically obsolete in a market that now rewards clarity of purpose and format specialization.

We are **Outperform** on **PPIH.** It falls into the favorable discounter sub-segment of retail, running a rare "high gross margin × high cost × high profit" model that delivers c.7% OPM. In addition, rising tax-free and private label sales leave the stock structurally room to grow versus peers. We are **neutral** on **Seven & i** because its core CVS franchise is past its peak with weakening franchisee economics and governance strain, yet the stock retains meaningful corporate-action optionality from Couche-Tard's bid floor and a potential Itochu–founding-family-led CVS reorganization. We are **underperform** on **AEON** on stretched valuation, with expectations for potential consolidation synergies running too hot and a rich forward P/E that already discounts integration benefits and ambitious synergy assumptions, leaving risk skewed toward execution. See also ***our initiation report (link)***

BERNSTEIN TICKER TABLE

			18 Jun 2026		TTM	Reported EPS				Reported P/E (x)		
			Closing	Price	Rel.							
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
8267.JP (Aeon)	U	JPY	1,336.00	1,100.00	(62.9)%	JPY	26.87	27.79	34.94	49.7	48.1	38.2
7532.JP (PPIH)	O	JPY	835.30	1,100.00	(63.6)%	JPY	151.65	38.47	41.45	5.5	21.7	20.2
3382.JP (Seven & I)	M	JPY	1,945.50	2,100.00	(64.3)%	JPY	118.81	114.52	121.55	16.4	17.0	16.0
JPL			2,676.74									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

We rate PPIH Outperform. We rate Seven & i Market-Perform. We rate Aeon Underperform.

VALUATION COMPS TABLE

EXHIBIT 1: **Valuation Comps**

	Mkt Cap	EV	P/E			P/B			EV/EBITDA			ROE			PEG	EPS Growth	OPM		Div. Yld.
	(USD mn)	(USD mn)	LTM	1BF	2BF	LTM	1BF	2BF	LTM	1BF	2BF	LTM	1BF	2BF	FY25-FY27	FY25-FY27	1BF	LTM	1BF
Fast Retailing	165,783	156,761	53.9x	48.1x	42.8x	9.8x	9.0x	7.9x	29.2x	25.0x	22.7x	19.8%	20.3%	19.8%	2.7x	*18.0%*	*18.0%*	0.7%	0.8%
Ryohin Keikaku	12,391	12,134	31.7x	27.2x	24.1x	5.0x	4.5x	4.0x	16.2x	14.3x	13.0x	17.1%	18.2%	18.1%	1.1x	*24.3%*	*10.5%*	0.8%	1.0%
Japanese Apparel Retailers			**31.7x**	**37.7x**	**33.4x**	**7.4x**	**6.8x**	**5.9x**	**22.7x**	**19.7x**	**17.9x**	**18.5%**	**19.2%**	**19.0%**	**1.9x**	***21.1%***	***14.2%***	**0.8%**	**0.9%**
Asics	20,006	20,108	27.6x	23.8x	20.8x	9.9x	8.2x	6.6x	17.4x	14.4x	12.9x	41.0%	39.5%	36.1%	1.0x	*23.6%*	*18.7%*	0.6%	1.0%
Mizuno	1,682	1,558	14.2x	13.7x	12.7x	1.5x	1.4x	1.4x	9.5x	8.9x	8.4x	11.1%	10.8%	11.0%	2.5x	*5.6%*	*9.0%*	1.8%	2.0%
Yonex	1,294	1,196	15.9x	14.0x	12.8x	2.4x	2.1x	1.8x	9.6x	8.8x	8.8x	16.2%	15.5%	14.9%	1.2x	*11.4%*	*10.2%*	1.1%	1.3%
Japanese Sportswear			**19.2x**	**17.2x**	**15.5x**	**4.6x**	**3.9x**	**3.3x**	**12.1x**	**10.7x**	**10.0x**	**22.8%**	**21.9%**	**20.7%**	**1.6x**	***13.5%***	***12.6%***	**1.2%**	**1.4%**
Food & Life	6,749	7,785	36.9x	29.7x	25.1x	9.3x	7.2x	5.8x	15.0x	12.3x	10.7x	28.8%	27.6%	26.0%	0.8x	*35.8%*	*9.9%*	0.4%	0.5%
Kura	802	1,041	35.6x	35.3x	31.4x	1.8x	2.0x	1.9x	10.5x	10.1x	9.8x	5.4%	5.3%	5.7%	7.5x	*4.7%*	*2.2%*	0.6%	1.0%
Saizeriya	1,668	1,426	20.8x	17.9x	15.8x	2.0x	1.9x	1.7x	7.0x	6.4x	6.0x	10.1%	10.9%	11.3%	0.9x	*19.8%*	*6.6%*	0.6%	0.6%
Zensho	7,709	9,277	28.1x	23.1x	20.1x	3.6x	3.7x	3.2x	11.0x	9.7x	8.7x	14.9%	14.8%	15.6%	*n.a*	*n.a*	*6.9%*	1.0%	1.1%
Monogatari	1,109	1,122	23.2x	20.1x	17.6x	4.0x	3.3x	2.9x	10.5x	9.6x	8.6x	18.3%	17.3%	17.3%	0.8x	*26.0%*	*7.6%*	0.8%	1.0%
Skylark	3,790	4,370	34.2x	29.3x	27.0x	3.2x	2.9x	2.7x	8.4x	7.8x	7.4x	9.8%	10.5%	10.6%	1.8x	*16.3%*	*7.1%*	0.8%	1.0%
Ohsho	1,093	960	19.3x	20.4x	19.5x	2.2x	2.0x	1.9x	11.3x	-	-	10.7%	10.2%	10.2%	*n.a.*	*n.a.*	*8.6%*	2.1%	2.1%
Japan Food Services			**28.3x**	**25.1x**	**22.4x**	**3.7x**	**3.3x**	**2.9x**	**10.5x**	**9.3x**	**8.5x**	**14.0%**	**13.8%**	**13.8%**	**2.4x**	***20.5%***	***7.0%***	**1.0%**	**1.0%**
PPIH	16,441	17,980	23.0x	20.6x	19.1x	3.6x	3.2x	2.8x	13.0x	12.1x	11.4x	16.9%	17.0%	16.5%	1.0x	*20.2%*	*7.3%*	1.0%	1.2%
Aeon	23,037	40,446	51.0x	43.9x	35.3x	3.0x	2.7x	2.6x	10.0x	9.1x	8.6x	6.4%	6.7%	8.3%	2.3x	*18.7%*	*2.8%*	1.0%	1.1%
Seven and I	31,389	52,345	16.2x	16.5x	15.3x	1.2x	1.2x	1.2x	9.0x	9.6x	9.3x	7.6%	7.4%	7.8%	5.0x	*3.3%*	*4.3%*	2.6%	3.1%
Trial	2,078	4,153	35.9x	29.8x	18.9x	2.6x	2.2x	2.0x	10.5x	9.3x	8.4x	7.3%	8.9%	12.2%	1.3x	*22.6%*	*2.7%*	0.6%	0.6%
Izumi	1,240	1,916	11.7x	10.5x	9.9x	0.7x	0.6x	0.6x	6.4x	6.2x	5.9x	5.8%	6.1%	6.4%	n.a.	n.a.	*5.0%*	3.2%	3.3%
Kobe Bussan	4,402	3,718	16.9x	17.6x	16.3x	3.3x	3.0x	2.6x	12.4x	11.2x	10.4x	21.7%	17.8%	16.8%	3.3x	*5.3%*	*7.6%*	1.2%	1.3%
Life Corp	1,410	1,444	11.6x	11.3x	10.9x	1.4x	1.3x	1.2x	5.4x	5.2x	5.0x	12.8%	11.6%	11.1%	n.a.	n.a.	*2.9%*	2.6%	2.8%
Cosmos Pharmaceutical	2,979	3,103	15.2x	14.4x	13.6x	1.7x	1.5x	1.4x	7.7x	7.1x	6.7x	12.0%	11.1%	10.9%	2.3x	*6.4%*	*3.7%*	1.2%	1.4%
Matsukiyococokara	5,876	5,163	16.7x	15.2x	14.3x	1.7x	1.6x	1.5x	7.7x	7.4x	7.0x	10.5%	10.8%	10.8%	1.9x	*8.1%*	*7.7%*	2.1%	2.5%
Sundrug	2,758	2,620	13.9x	12.7x	11.9x	1.5x	1.4x	1.3x	6.4x	5.9x	5.6x	11.3%	11.5%	11.4%	1.6x	*7.9%*	*5.7%*	3.5%	3.8%
Sugi	3,574	3,483	12.2x	15.9x	14.6x	1.9x	1.7x	1.6x	8.2x	7.3x	6.7x	16.6%	11.1%	11.2%	-1.8x	*-8.6%*	*4.9%*	1.2%	1.3%
Kusuri no aoki	2,130	2,677	18.4x	17.2x	16.1x	2.5x	2.2x	2.0x	10.0x	9.8x	9.6x	13.5%	12.9%	13.1%	1.4x	*12.7%*	*4.4%*	1.6%	1.3%
Japanese Grocery Retailers			**17.4x**	**18.8x**	**16.4x**	**2.1x**	**1.9x**	**1.7x**	**8.9x**	**8.3x**	**7.9x**	**11.9%**	**11.1%**	**11.4%**	**1.8x**	***9.7%***	***4.9%***	**1.8%**	**2.0%**
Inditex*	201,888	196,435	28.0x	24.9x	22.8x	9.3x	8.0x	7.5x	15.0x	13.7x	12.8x	34.0%	32.4%	33.4%	2.2x	*11.3%*	*20.5%*	3.0%	3.3%
H&M*	28,396	34,459	-	20.4x	19.0x	6.6x	6.1x	5.8x	-	8.1x	7.8x	-	30.7%	32.0%	2.3x	*8.8%*	*8.8%*	4.1%	4.4%
Europe Apparel Retailers			**28.0x**	**22.6x**	**20.9x**	**7.9x**	**7.0x**	**6.6x**	**15.0x**	**10.9x**	**10.3x**	**34.0%**	**31.6%**	**32.7%**	**2.3x**	***10.1%***	***14.6%***	**3.6%**	**3.9%**
Adidas*	36,435	42,195	22.9x	16.8x	14.0x	5.2x	4.7x	4.2x	11.3x	9.7x	8.7x	23.8%	27.4%	28.9%	0.6x	*29.6%*	*9.6%*	1.6%	2.3%
Puma*	4,789	7,107	-	-	38.9x	2.2x	2.5x	2.4x	-	14.4x	9.4x	-27.4%	-7.2%	4.6%	-	-	*1.1%*	-	0.2%
Europe Sportswear			**22.9x**	**16.8x**	**26.4x**	**3.7x**	**3.6x**	**3.3x**	**11.3x**	**12.0x**	**9.0x**	**-1.8%**	**10.1%**	**16.7%**	**0.6x**	**0.3x**	***5.3%***	**2.6%**	**1.2%**
Compass Group	55,519	64,252	27.5x	20.7x	18.8x	7.0x	5.8x	5.1x	14.3x	11.7x	10.9x	27.1%	29.1%	29.0%	0.8x	*25.7%*	*7.5%*	2.1%	2.4%
Elior	574	1,919	7.8x	7.7x	5.5x	0.6x	0.6x	0.5x	5.4x	4.6x	4.2x	7.9%	6.6%	9.2%	2.8x	*2.8%*	*2.9%*	2.0%	3.0%
AmRest	663	2,414	65.5x	13.8x	13.2x	1.6x	1.4x	-	5.4x	4.7x	4.7x	2.4%	12.5%	-	0.2x	*68.6%*	*5.7%*	2.6%	-
Europe Food Services			**17.6x**	**14.1x**	**12.5x**	**3.1x**	**2.6x**	**2.8x**	**8.4x**	**7.0x**	**6.6x**	**12.4%**	**16.1%**	**19.1%**	**1.3x**	**0.3x**	***5.4%***	**2.3%**	**2.7%**
Carrefour	13,022	24,343	11.4x	8.6x	8.1x	1.0x	0.9x	0.9x	4.8x	4.5x	4.3x	2.9%	10.6%	10.8%	0.1x	*101.6%*	*2.9%*	6.3%	7.1%
Tesco	37,745	52,169	16.5x	14.2x	13.2x	2.5x	2.4x	2.3x	8.1x	7.7x	7.4x	15.5%	17.3%	17.8%	1.2x	*11.7%*	*4.4%*	3.2%	3.5%
Europe Grocery Retailers			**14.0x**	**11.4x**	**10.6x**	**1.8x**	**1.7x**	**1.6x**	**6.4x**	**6.1x**	**5.9x**	**9.2%**	**13.9%**	**14.3%**	**0.7x**	**0.1x**	***3.6%***	**3.9%**	**5.3%**
Gap	7,614	10,695	8.3x	8.5x	7.9x	2.1x	1.8x	1.7x	5.9x	3.9x	3.6x	27.6%	22.9%	23.2%	0.8x	*10.8%*	*7.6%*	3.2%	3.3%
Abercrombie & Fitch Co.	3,876	4,563	7.4x	7.9x	7.1x	2.9x	2.3x	1.8x	3.9x	3.9x	3.8x	39.0%	33.2%	33.5%	1.2x	*6.7%*	*12.2%*	-	-
American Eagle Outfitters	2,984	4,755	8.7x	9.7x	8.7x	1.8x	1.5x	1.4x	8.5x	4.6x	4.3x	18.0%	17.8%	18.8%	0.3x	*35.5%*	*7.0%*	2.8%	2.8%
Ralph Lauren	24,581	25,525	24.3x	22.3x	20.2x	8.7x	7.1x	6.0x	18.1x	13.9x	13.0x	34.7%	34.0%	31.4%	1.5x	*15.1%*	*16.8%*	0.9%	0.9%
U.S. Apparel Retailers			**12.2x**	**12.1x**	**11.0x**	**3.9x**	**3.2x**	**2.7x**	**9.1x**	**6.6x**	**6.2x**	**29.8%**	**27.0%**	**26.7%**	**0.9x**	***17.0%***	***10.9%***	**1.8%**	**2.4%**
Nike*	66,936	70,057	29.9x	24.1x	18.6x	4.7x	4.8x	4.8x	19.7x	16.5x	13.4x	16.0%	19.6%	25.5%	4.0x	*6.0%*	*7.3%*	3.6%	3.7%
Lululemon*	12,692	13,313	9.0x	10.0x	9.4x	2.8x	2.2x	1.9x	5.2x	4.8x	4.6x	32.0%	23.1%	21.1%	-1.9x	*-5.3%*	*15.8%*	-	-
Under Armour	2,556	4,187	60.4x	42.5x	22.9x	1.8x	1.7x	1.5x	42.4x	12.9x	11.0x	-30.0%	3.8%	7.2%	-	-	*3.1%*	-	-
Amer Sports	21,412	21,741	40.0x	26.8x	21.5x	3.2x	3.0x	2.6x	-	13.3x	11.3x	7.6%	12.2%	13.1%	0.5x	*49.1%*	*14.1%*	-	-
On Holdings*	12,960	12,677	37.2x	20.9x	17.1x	5.2x	4.3x	3.5x	18.5x	13.2x	10.8x	15.5%	21.8%	21.4%	0.3x	*64.0%*	*15.4%*	-	-
Deckers*	15,153	13,621	15.5x	14.2x	12.8x	6.1x	5.1x	4.1x	10.2x	9.6x	8.9x	40.9%	38.0%	36.9%	1.4x	*10.1%*	*21.7%*	-	-
U.S. Sportswear			**26.3x**	**23.1x**	**17.1x**	**4.0x**	**3.5x**	**3.1x**	**19.2x**	**11.7x**	**10.0x**	**13.7%**	**19.8%**	**20.9%**	**0.9x**	***24.8%***	***12.9%***	**3.6%**	***n.a.***
McDonald's*	197,954	251,665	22.5x	20.6x	18.9x	-	127.5x	43.5x	16.8x	14.6x	13.7x	-	-438.1%	156.6%	1.9x	*10.8%*	*47.5%*	2.6%	2.8%
Chipotle*	41,676	46,050	29.2x	26.3x	22.3x	17.4x	12.9x	11.4x	20.7x	16.6x	14.6x	49.2%	56.9%	60.4%	2.1x	*12.4%*	*15.0%*	-	-
Darden*	24,447	32,333	20.8x	18.6x	16.9x	11.6x	10.0x	-	16.2x	12.3x	11.6x	51.3%	54.0%	54.4%	1.0x	*18.8%*	*12.4%*	2.8%	3.0%
U.S. Food Services			**24.2x**	**21.8x**	**19.4x**	**14.5x**	**11.5x**	**11.4x**	**17.9x**	**14.5x**	**13.3x**	**49.2%**	**n.a.**	**n.a.**	**1.7x**	***14.0%***	***25.0%***	**3.0%**	**2.9%**
Walmart*	932,528	1,002,623	43.4x	38.2x	34.2x	9.9x	8.4x	7.6x	22.4x	19.4x	17.7x	25.5%	22.0%	22.6%	3.2x	*11.9%*	*4.6%*	0.8%	0.9%
Costco*	421,948	410,088	48.3x	42.8x	38.9x	12.6x	10.5x	8.9x	29.7x	26.3x	24.1x	29.2%	26.7%	24.8%	2.7x	*15.8%*	*3.9%*	0.6%	0.7%
Target*	59,381	74,678	16.4x	15.2x	14.2x	3.6x	3.3x	3.1x	9.4x	8.2x	7.7x	22.0%	22.9%	22.7%	2.4x	*6.3%*	*5.0%*	3.5%	3.6%
US Grocery Retailers			**36.0x**	**32.1x**	**29.1x**	**8.7x**	**7.4x**	**6.5x**	**20.5x**	**17.9x**	**16.5x**	**25.6%**	**23.8%**	**23.4%**	**2.8x**	***11.3%***	***4.5%***	**1.6%**	**1.7%**

Market data as of June 18 2026

Fast Retailing, Ryohin Keikaku, Asics, Food & Life, PPIH, Aeon, Seven and I are covered by Yugo Shima. * are covered by other Bernstein colleagues (William Woods,

Aneesha Sherman, Danilo Garguilo, and Zhihan Ma).
Source: Bloomberg, Bernstein analysis.

DETAILS

EXECUTIVE SUMMARY

- **Japan domestic retail is not appealing at first glance.** For most global investors, Japan's retail is a "market already talked to death" — population shrinking, no growth, consolidation lagging. **At 7.9 retail stores per 1,000 inhabitants, Japan is the most over-stored developed market — 2.5x the U.S.** The top five grocers command just 30% of the market, against 74% in Germany and 48% in the U.S. The pillars sustaining this fragmentation — in-store fresh-food processing, geographic Balkanization, and non-regular labor absorption — are now collapsing in unison.

- **We foresee great grand consolidations, and the trigger is the simple arithmetic of cost structure.** Supermarket operating margins of 1.5% sit against personnel cost ratios of 14.0%. Since 2015, minimum wages have risen over 30%, while CPI has climbed only 10%. Wage inflation outrunning pricing power erodes the economics fragmentation depended on. Smaller players, lacking capacity for automated process centers, are structurally positioned for elimination. **Western Europe consolidated in the 1980s, the U.S. in the 1990s. Japan is finally entering the middle innings, with convergence toward the global CR5 norm of 60-70% as the next decade's central theme.**

- **The Japanese consumer's value system has shifted along the "time × money" axis.** Through the high-growth era and the bubble, the consumer was "time-poor and money-rich" — and the convenience store earned its throne as King of Retail by selling exactly that premium. After the bubble, the drift toward work-life balance and erosion of real purchasing power advanced gradually, **then accelerated sharply over the past decade through Workstyle Reform, telework, dual-income normalization, and the rise of Gen Z.** Today's consumer is "time-rich, money-poor." **This transition has bifurcated consumption — a sober "Utility" purchase at the drugstore on weeknights, and a weekend "Flight to Value" at the discount store — forcing CVS and GMS to redefine their formats.**

- **The structural advantage of drugstores and discount stores is verifiable in their profit architecture itself.** Drugstores have delivered over +70% nominal revenue growth in the past decade — Japan's sole Volume Compounder. The secret lies in the **"Alchemy of Cross-Subsidization"**: 35-40% margins on beauty and pharma subsidize thin food margins (~12%, half that of supermarkets), generating a ~13% pricing advantage. The aging tailwind (over 30% of the population now 65+) and absorption of the prescription dispensing market accelerate this further. Discount stores have achieved a 5-year CAGR of 6.8% (vs. supermarkets at 1.9%), the absolute destination for the inflationary "Flight to Value." By contrast, **CVS is descending into "Share Donor" status, while GMS — cannibalized, category by category by specialty retailers — has degenerated into a "zombie Format."**

- The three covered names offer sharply differentiated investment profiles. **PPIH**, despite its discount positioning, has built a seemingly paradoxical 'high gross margin × high cost × ultra-high profit' model, delivering an OPM of 7.2%, roughly 5x the industry average. With both strong sub-sector secular growth (discounters) and a clear consolidation-leader position, PPIH remains plainly underappreciated. **AEON** is the inverse: its Retail × Developer × Financial architecture and role as consolidator in the Welcia–Tsuruha tie-up warrant structural respect, but a high forward P/E already embeds not only the guided integration benefits but also ambitious cross-segment synergies in legacy GMS and supermarkets. **Seven & i** sits in a quieter transition phase: the era of 7-Eleven as undisputed King of Retail is fading, and deteriorating franchisee economics, organizational rigidity, and a global footprint that has outgrown its governance leave the company wedged between activists and would-be acquirers at the front while internal discipline erodes at the back. Our neutral stance on Seven & i is anchored in structural optionality: Couche-Tard's October 2024 buyout proposal at ¥2,700 effectively sets a floor, while Itochu's 16.35% stake in Seven Bank, full consolidation of Itochu Shokuhin, and FamilyMart's migration into the Itochu food platform all point to the gradual possibility of a domestic CVS reorganization led by an Itochu–founding-family alliance.

DOMESTIC RETAILERS

SURVIVAL OF THE FITTEST: THE STRUCTURAL SHAKEOUT

To the uninitiated eye, the Japanese domestic retail market might look like a barren wasteland—a "no-growth" trap plagued by demographic decline. However, do not be fooled by the surface-level stagnation. We view this very lack of growth as the catalyst for growth opportunity. It is precisely within this structural inefficiency that significant upside is buried. Why? Because in a stagnant market where chaos reigns and weaker players capitulate, the stage is set for a "Winner-Takes-All" scenario. The consolidation that has already matured in the West is still in its middle innings in Japan. We do not see a tragedy of a shrinking pie; we see the dawn of a "Structural Shakeout" where a handful of survivors will monopolize the residual profit pool and dramatically expand their margins.

In this context, our stance distinguishes sharply between the predators and the prey. We are structurally bullish on the "Predators" like PPIH. Aeon could also grow in drugstores but GMS/supermarkets will remain a drag. PPIH is disrupting the rules with its unique entertainment-discount model, while Aeon is using its fortress balance sheet to act as the "Great Consolidator" of regional decay. Conversely, we are cautious on the "Fallen King," 7-Eleven. Once the beacon of consolidation, they now face "Structural Fatigue." The headwinds challenging their high-price and high-convenience model are not issues that can be solved overnight; they are fundamental flaws in a changing era.

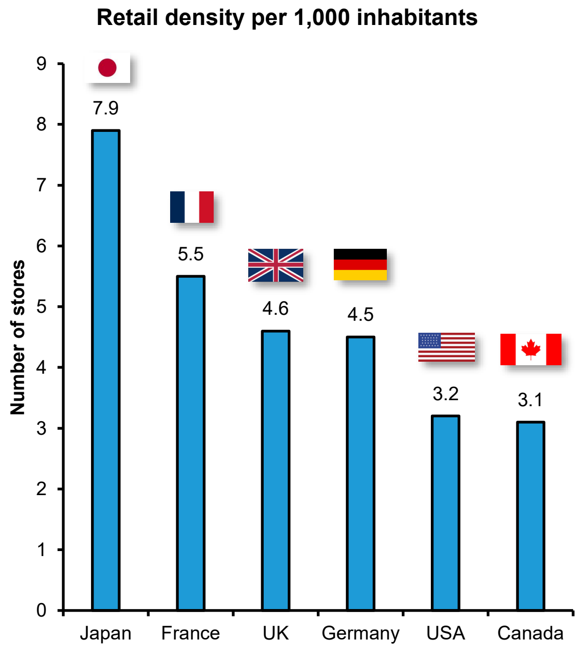
JAPAN REMAINS FUNDAMENTALLY OVER-STORED

Why is this consolidation inevitable? The answer lies in the chronic disease plaguing the Japanese landscape: "Over-store." The numbers are not just statistics; they are proof that the pressure cooker is about to explode. Japan suffers from a suffocating density of retail infrastructure. Japan has 7.9 retail stores per 1,000 people (Exhibit 2) —nearly double the UK (4.6) and 2.5x the US (3.2). On a spatial basis, the density is even more staggering (Exhibit 3). Japan packs 2.61 stores per km², compared to 1.28 in the UK and a mere 0.11 in the US. This implies that Japanese retailers have been fighting an inefficient war of attrition for decades.

We are actually seeing the supply side crack. The data reveals a stark divergence between market size and capacity. The total Retail TAM has remained stubborn at roughly $1 Trillion (hovering between ¥140T–¥160T) since the 1991 bubble peak. The pie is frozen. In this zero-growth environment, the player count has capitulated. The number of retail operators has effectively halved from ~1.6 million in 1991 to ~0.8 million today.

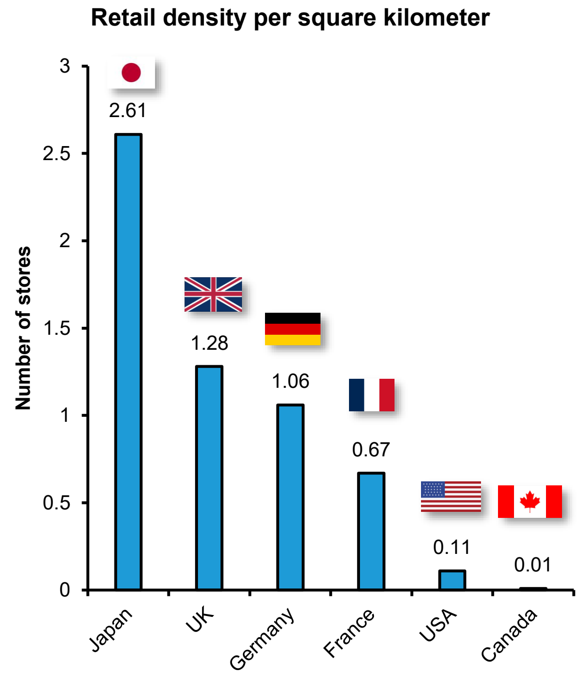
This culling of the herd has been a boon for the survivors. Sales per Store have structurally compounded (Exhibit 4), more than doubling (>2.4x) from ¥88m to ¥210m over the period. But here is the key: Despite halving the store count and doubling efficiency, the density metrics confirm that Japan remains fundamentally over-stored. The consolidation is not over; it is just getting started. As the population shrinks and rural areas hollow out, only a select few efficient winners can sustain this infrastructure. This "Unending Shakeout" is the very engine that will generate outsized returns for the survivors.

EXHIBIT 2: **Japan has the highest number of retail stores per capita among the developed nations**



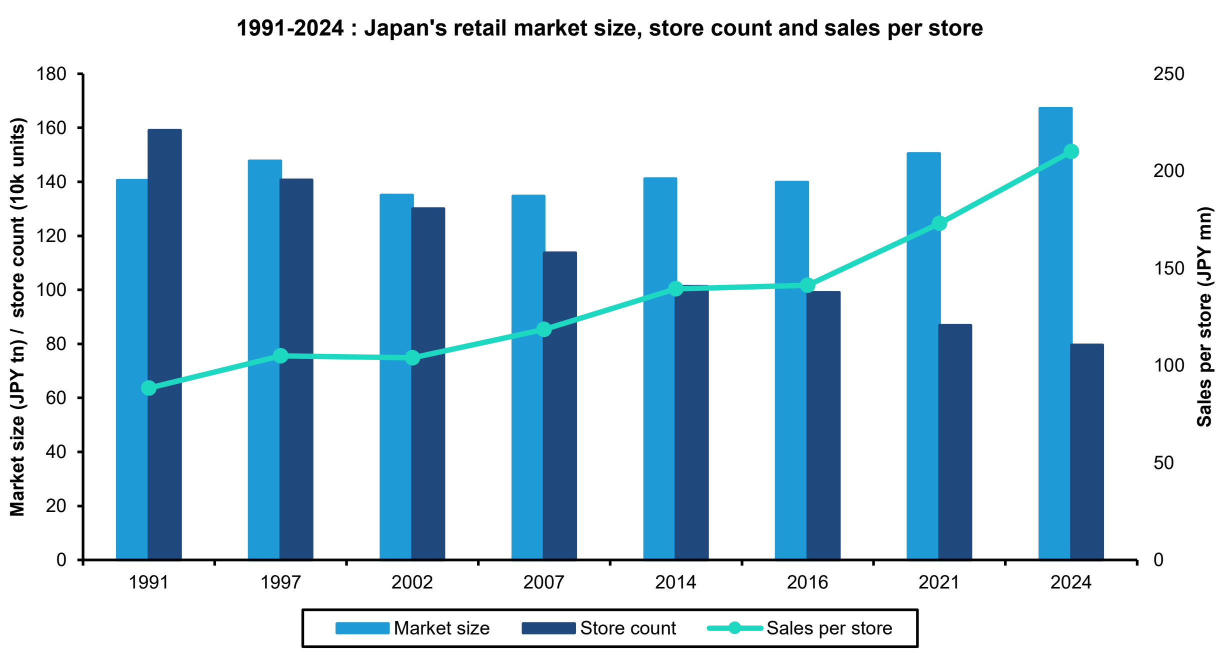
Year: 2025
Source: METI, INSEE, ONS, Destatis, U.S. Census Bureau, Statistics Canada, Bernstein analysis.

EXHIBIT 3: **Per-kilometer density makes the over-supply even starker—Japan's 2.61 stores per sq km is 2x the next-closest peer**



Year: 2025
Source: Official Retail Census, World Bank Group, Bernstein analysis.

EXHIBIT 4: **The math of the shakeout—the survivors inherit a larger slice of a stagnant pie**



Source: METI, MIC, Bernstein analysis.

THIS OVER-STORED MARKET IS NOW TOO EXPENSIVE TO REMAIN FRAGMENTED

Global grocery retail has largely consolidated into a game of scale, a reality evident in major economies. Looking at the Concentration Ratio of the top 5 players (CR5), Germany stands at 74%, the UK at 72%, France at 68%, and even the vast US market at 48%, showing that markets are typically dominated by a few giants. Yet, Japan remains a stubborn outlier with a CR5 of just 30% (Exhibit 5). Why has Japan remained so fragmented? The answer lies in three distinct structural pillars unique to the Japanese market.

First is the non-negotiable demand for freshness . As an island nation with a deep-rooted culture of consuming raw fish, Japanese consumers hold retailers to an exceptionally high standard for freshness. To meet this expectation, supermarkets have been forced into a labor-intensive "In-store Processing" model—filleting fish, cutting meat, and cooking sides in the back of every store. Operationally, Japanese supermarkets function less like efficient retailers and more like massive restaurant complexes. This insistence on on-site craftsmanship has ironically acted as a structural barrier to the centralized efficiency and integration seen in the West.

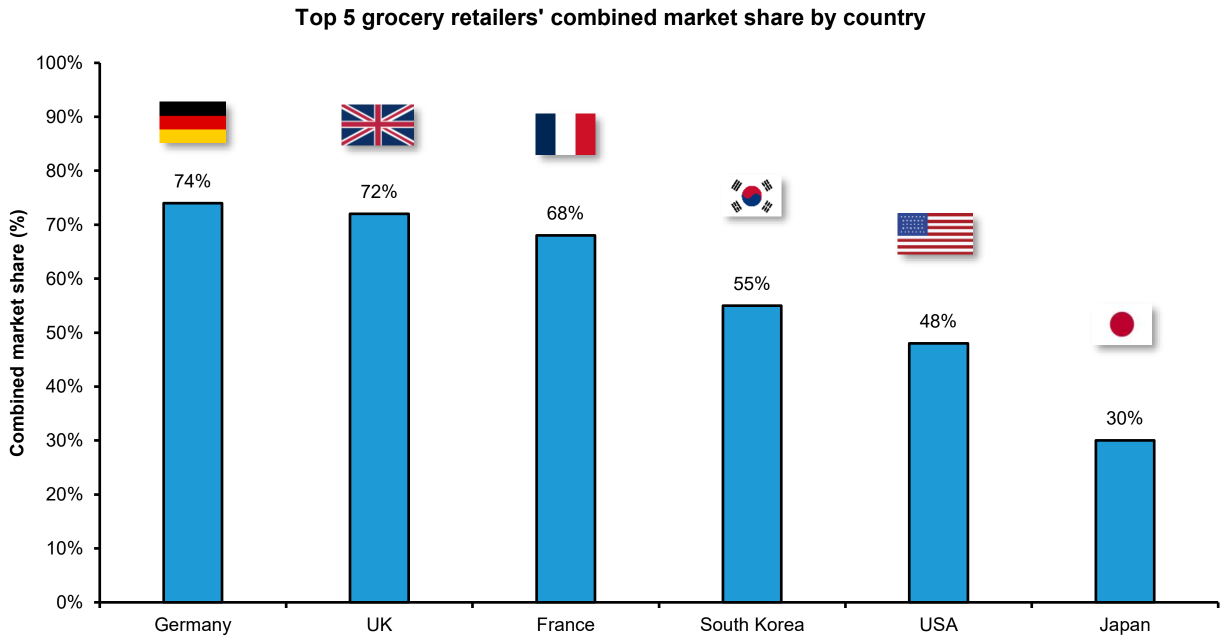
Second is geography. With mountainous terrain covering approximately 73% of the land, Japan's isolated regions have fostered distinct local food cultures. This fragmentation created a strong preference for local tastes, allowing regional supermarkets to maintain a competitive advantage over national chains that offered standardized, "cookie-cutter" assortments.

Third is the labor market structure. Even as over-storing pressured margins, the industry survived by increasing the ratio of non-regular employees. Supported by a workforce with a high work ethic willing to perform duties despite decades of stagnant wages, inefficient stores that should have been culled were instead kept on life support (Exhibit 6).

However, this seemingly robust structure has finally reached its limit. The Unit Economics have visibly broken in the face of inflation. The labor-intensive artisan model is now structurally insolvent. With Supermarket Operating Profit Margins averaging a razor-thin 1.5% against a labor cost structure of 14.0%, the math simply does not work anymore. The situation is exacerbated by the fact that minimum wages have surged 30%+ since 2015, vastly outpacing the industry's ability to pass on prices, which has been capped at ~10% CPI.

This mismatch is fatal for small and medium-sized players lacking financial stamina. They do not possess the balance sheets required for the massive Capex needed to build automated process centers and replace expensive human labor with machines. Consequently, we expect M&A to accelerate vertically, driven not merely by succession issues, but by the urgent need to avoid financial collapse. The market has no choice but to converge toward global CR5 norms of 60-70%, a consolidation wave that will be ruthlessly led by capitalized giants who can afford the technology to survive.

EXHIBIT 5: **The consolidation runway made quantitative—Japan has 40+ percentage points of concentration to catch up**



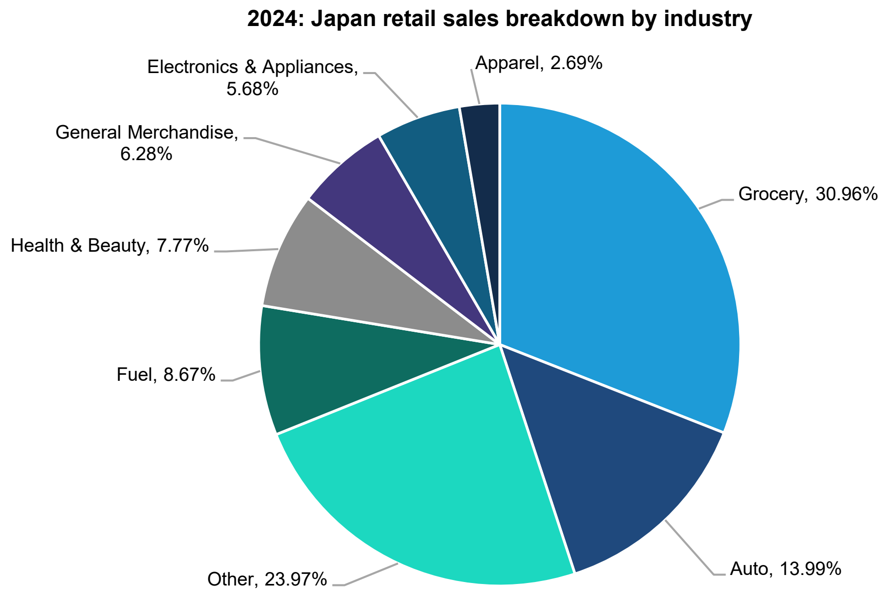
Year: 2025
Source: Company reports, Euromonitor, Bernstein analysis.

EXHIBIT 6: **Three structural shields, all down simultaneously—the old fragmentation no longer has a defense**

	Before **Why fragmentation survived**		**After** **Why fragmentation is collapsing**
	Japan CR5~30% (1990s-2010s)		*Japan CR5 60*~70% (2010s~)
Pillar 1 **Freshness culture**	**Store-level processing for freshness** Every store fillets, cuts, and cooks on site, looking like a "mini restaurant complex" and winning on freshness	>	**Store-level processing too expensive** OPM down to ~1.5% vs labor cost ratio ~14%, making the artisan model uneconomic
Pillar 2 **Geographic Fragmentation**	**Geography protects regional chains** ~73% mountainous terrain and strong local food cultures gave regional chains a moat and held national consolidation back	>	**Geography limits capex for automation** The same fragmented geography makes it impossible for small regionals invest in centralized processing and automation, so they fall behind big national chains
Pillar 3 **Labor market flexibility**	**Cheap, flexible labor kept weak stores alive** A large pool of non-regular, low-wage, high-effort workers keeps inefficient stores running.	>	**Rising wages forces weak stores to close** Minimum wage is up ~30% since 2015 vs CPI ~+10%, so pricing cannot absorb the wage shock and unproductive stores are forced to exit

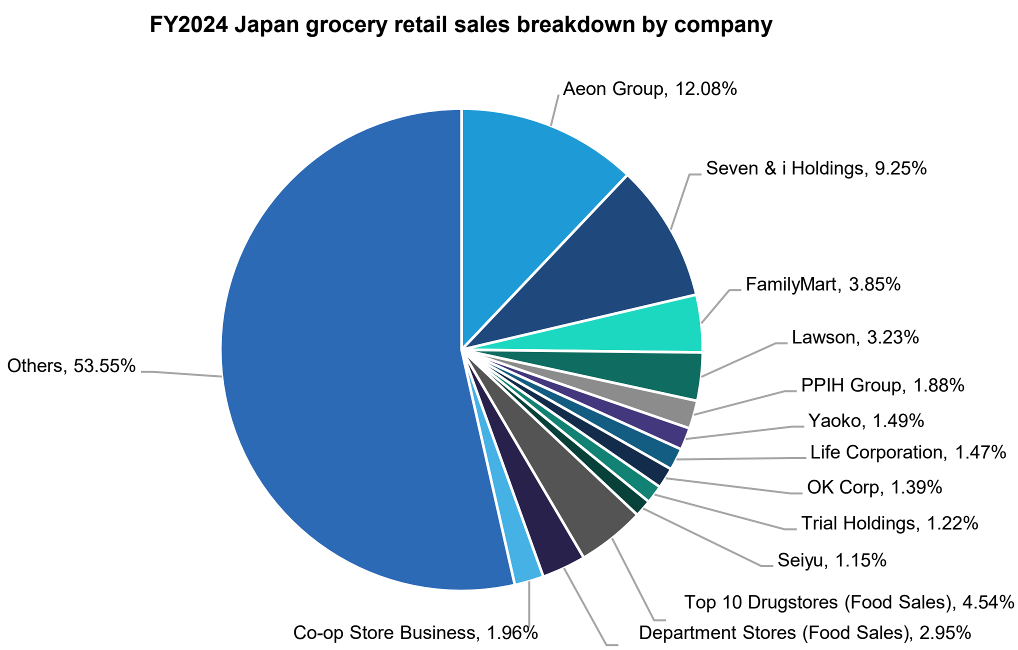
Source: Company reports, Bernstein analysis.

EXHIBIT 7: **Grocery is Japan's largest retail category by a wide margin**



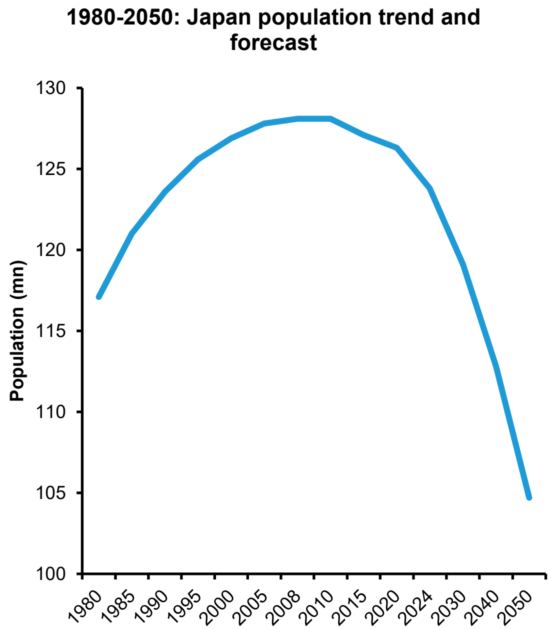
Source: METI, Bernstein analysis.

EXHIBIT 8: **A long tail waiting to be consolidated—the top two names hold barely one-fifth of the market**



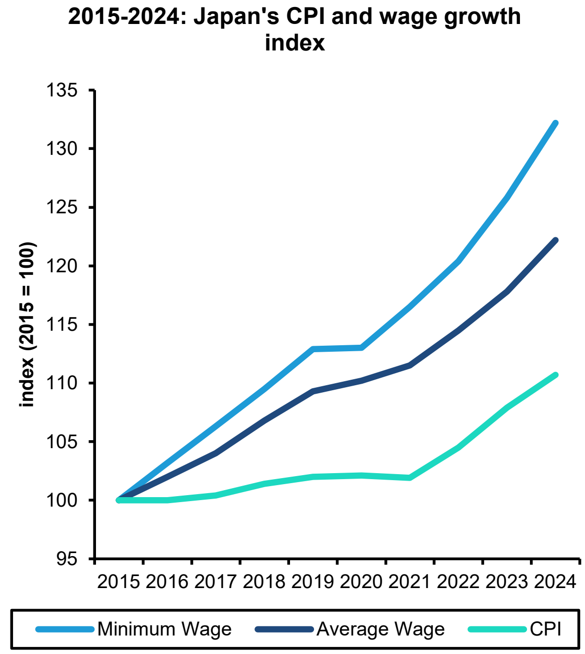
Source: Diamond chain store, Bernstein analysis.

EXHIBIT 9: **Why "over-stored" becomes "impossibly over-stored"—the denominator itself is shrinking**



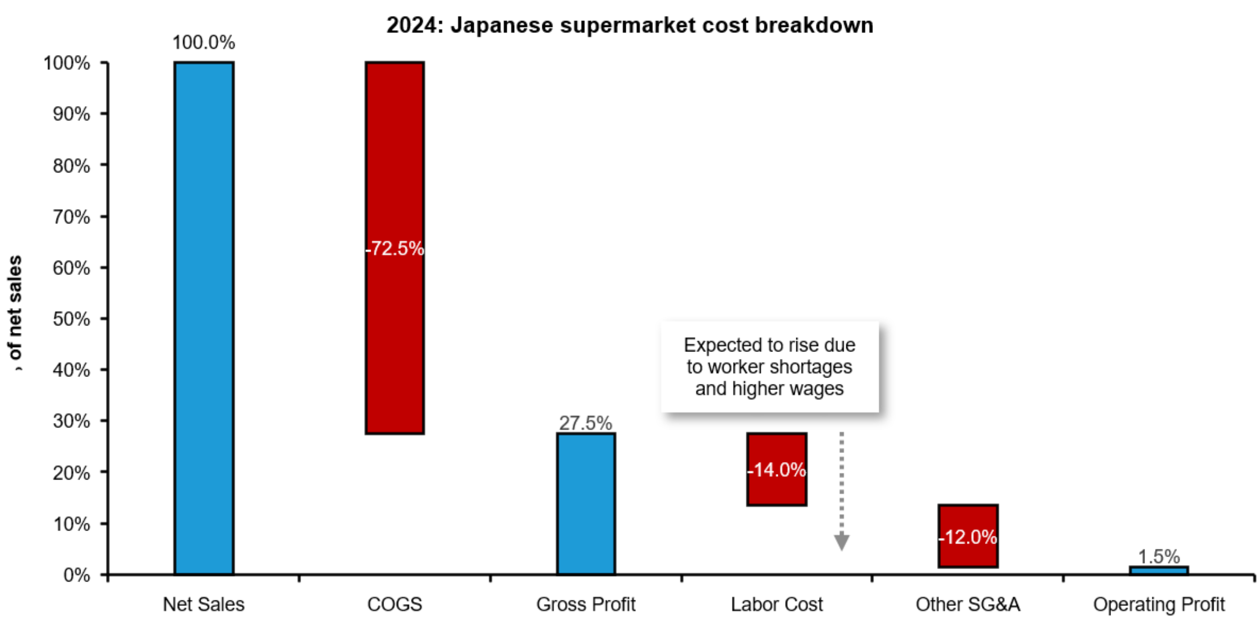
Source: Japan population Census, Bernstein analysis.

EXHIBIT 10: **The inflation that finally matters—minimum wage has broken out above CPI, and the weak supermarkets cannot follow**



Source: MIC, MHLW, Bernstein analysis.

EXHIBIT 11: **Rising labor costs are pushing supermarkets toward a breaking point — only scale can solve it**



Figures represent the 2024 weighted average for full-line Japanese supermarkets operated by JSA members.

Operating Profit (1.5%) is calculated as a percentage of Net Sales. Labor costs (14.0%) are inclusive of both full-time and part-time personnel.
Source: Japan Supermarket Association, METI, Bernstein analysis.

CONSOLIDATION IS INEVITABLE, BUT WHO WINS? THE FORMAT WAR

Shifting from the macro inevitability to the consumer's brain, we find a simple truth: Retail history is the graveyard of formats that failed to offer either "Utility" or "Dopamine." The General Merchandise Store (GMS), once the king, died simply because it became boring—offering neither extreme. The modern Japanese consumer is a study in contrasts. On weeknights, they demand "Surgical Efficiency," seeking the friction-free speed of picking up daily essentials and dinner in a single stop. On weekends, however, they crave "Theatrical Discovery," willing to get lost in a maze of products for the thrill of the hunt. In this structural bifurcation, the most compelling winners emerging from the pack are the formats that have mastered these opposing ends of the spectrum: the white-coated discounter that optimizes your time, and the "Magician of Compressed Display" that makes you forget the clock entirely by turning shopping into entertainment.

The bottom line is that the Japanese retail market is currently undergoing an irreversible and relentless zero-sum migration of market share from legacy retail giants, namely Convenience Stores and General Merchandise Stores, to formats perfectly optimized for modern consumer needs: Drugstores and Discounters. As the Structural Gainers, Drugstores are hijacking daily infrastructure by weaponizing Cross-Subsidization, where high-margin healthcare products fund heavily discounted food, while Discounters are achieving overwhelming real growth by serving as the absolute destination for the Flight to Value under inflationary pressures. In stark contrast, Convenience Stores have devolved into Share Donors, suffering from traffic declines driven by price hikes and the societal extinction of the Overworked Salaryman demographic. Furthermore, General Merchandise Stores have been completely cannibalized by specialty retailers, degenerating into zombie Formats awaiting either conversion into real estate platform operations or outright dismantling.

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 12: **Pan Pacific International Holdings : Income Statement**

Pan Pacific International Holdings. - Income Statement (in JPY million, unless otherwise stated)	FY2025	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Revenue	**2,246,758**	**2,418,195**	**2,598,828**	**2,762,776**	**2,929,618**	**3,106,416**
Cost of sales	1,530,025	1,654,629	1,759,799	1,868,855	1,977,490	2,092,004
Gross profit	**716,733**	**763,566**	**839,029**	**893,920**	**952,128**	**1,014,412**
Total SG&A	(550,682)	(584,560)	(642,567)	(674,070)	(706,228)	(739,664)
Other income/(expense)	(3,755)	(3,090)	(3,090)	(3,090)	(3,090)	(3,090)
Operating Profit	**162,296**	**175,916**	**193,372**	**216,760**	**242,810**	**271,658**
Finance costs and others	(25,386)	(5,541)	(7,641)	(7,641)	(7,641)	(7,641)
Profit before taxation	**136,910**	**170,375**	**185,732**	**209,120**	**235,169**	**264,017**
Income tax	(45,558)	(53,672)	(55,720)	(64,827)	(70,551)	(79,205)
Net Profit	**91,352**	**116,703**	**130,012**	**144,293**	**164,618**	**184,812**
Profit attributable to:						
Equity shareholders of the Company	90,548	114,632	127,755	142,036	162,361	182,555
Non-controlling interests	804	2,071	2,257	2,257	2,257	2,257
Diluted EPS (JPY)	**151**	**38**	**42**	**47**	**54**	**60**
W.A. shares outstanding (mn)	597,073	2,987,185	3,014,855	3,014,855	3,014,855	3,014,855

Source: Company reports, Bernstein estimates and analysis.

EXHIBIT 13: **Pan Pacific International Holdings: Balance Sheet**

Pan Pacific International Holdings. - Balance Sheet (in JPY million, unless otherwise stated)	FY2025	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Cash and cash equivalents	171,958	223,880	321,194	439,938	538,203	680,860
Trade and other receivables	80,524	85,894	88,953	87,202	96,661	107,110
Inventories	224,902	231,645	250,942	255,308	297,978	315,233
Others	50,607	53,467	53,467	53,467	53,467	53,467
Total Current Assets	**527,991**	**594,886**	**714,556**	**835,915**	**986,309**	**1,156,670**
Property, plant and equipment	717,984	734,215	737,353	737,236	735,404	729,847
Intangible assets and goodwill	103,591	111,496	111,496	111,496	111,496	111,496
Investments and other assets	161,461	146,296	146,296	146,296	146,296	146,296
Total assets	**1,511,027**	**1,586,894**	**1,709,701**	**1,830,943**	**1,979,505**	**2,144,309**
Trade and other payables	252,366	274,038	292,394	296,773	311,608	326,543
ST debt	77,025	82,600	82,600	82,600	82,600	82,600
Others	112,202	102,736	102,736	102,736	102,736	102,736
Total Current Liabilities	**441,593**	**459,374**	**477,730**	**482,109**	**496,944**	**511,879**
LT debt	327,354	275,744	275,744	275,744	275,744	275,744
Lease liabilities	35,370	36,998	36,998	36,998	36,998	36,998
Others	82,665	83,760	83,760	83,760	83,760	83,760
Total liabilities	**886,982**	**855,876**	**874,232**	**878,611**	**893,446**	**908,381**
Shareholders' equity	590,295	673,843	778,294	895,156	1,028,884	1,178,753
Accumulated other comprehensive income	15,460	26,241	26,241	26,241	26,241	26,241
Others	18,290	30,937	30,937	30,937	30,937	30,937
Total Equity	**624,045**	**731,021**	**835,472**	**952,334**	**1,086,062**	**1,235,931**
Total Liabilities & Equity	**1,511,027**	**1,586,897**	**1,709,704**	**1,830,946**	**1,979,508**	**2,144,312**

Source: Company reports, Bernstein estimates and analysis.

EXHIBIT 14: **Pan Pacific International Holdings: Cash Flow Statement**

Pan Pacific International Holdings. - Cash Flow Statement (in JPY million, unless otherwise stated)	FY2025	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Net cash generated from operating activities	131,969	166,833	172,253	195,904	178,959	227,303
Net cash used in investing activities	(61,081)	(12,337)	(49,378)	(49,730)	(49,803)	(49,703)
Net cash used in financing activities	(75,914)	(77,253)	(25,561)	(27,430)	(30,891)	(34,943)
Exchange Gains (losses) on Net Cash	(6,336)	6,399	-	-	-	-
Total change in Cash	(11,362)	83,642	97,314	118,744	98,265	142,657
Cash and cash equivalents at period end	**171,958**	**223,880**	**321,194**	**439,938**	**538,203**	**680,860**
FCF (proxy)	77,077	136,866	126,060	149,314	132,341	180,786

Source: Company reports, Bernstein estimates and analysis.

EXHIBIT 15: **Seven and i: Income Statement**

Seven & I. - Income Statement (in JPY million, unless otherwise stated)	FY2025	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Revenue	**10,430,269**	**9,713,555**	**9,908,117**	**10,106,571**	**10,308,993**	**10,515,464**
Cost of sales	7,300,235	6,927,096	7,179,094	7,351,611	7,257,494	7,372,114
Gross profit on sales	**3,130,034**	**2,786,459**	**2,729,023**	**2,754,960**	**3,051,499**	**3,143,350**
Operating revenues	1,536,575	1,536,575	1,621,283	1,630,439	1,536,575	1,536,575
Gross profit from operations	**3,130,033**	**2,892,081**	**2,950,009**	**3,009,096**	**3,069,365**	**3,130,839**
Total SG&A	(2,707,037)	(2,380,746)	(2,317,152)	(2,332,969)	(2,617,915)	(2,699,988)
Operating Profit	**422,997**	**405,713**	**411,871**	**421,991**	**433,584**	**443,361**
Finance costs and others	11,572	(10,626)	(10,626)	(10,626)	(10,626)	(10,626)
Profit before taxation	**434,569**	**395,087**	**401,245**	**411,365**	**422,958**	**432,735**
Income tax	(135,472)	(118,526)	(120,374)	(123,409)	(126,887)	(129,821)
Net Profit	**299,097**	**276,561**	**280,872**	**287,955**	**296,071**	**302,915**
Profit attributable to:						
Equity shareholders of the Company	292,767	268,447	272,758	279,841	287,957	294,801
Non-controlling interests	6,330	8,114	8,114	8,114	8,114	8,114
Basic EPS (JPY)	**119**	**115**	**122**	**131**	**141**	**152**
W.A. shares outstanding (mn)	2,464,077	2,344,077	2,244,077	2,144,077	2,044,077	1,944,077

Source: Company reports, Bernstein estimates and analysis.

EXHIBIT 16: **Seven and i: Balance Sheet**

Seven and i. - Balance Sheet (in JPY million, unless otherwise stated)	FY2025	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Cash and bank deposits	438,634	467,565	411,145	503,134	503,735	563,384
Trade and other receivables (net)	333,890	355,950	455,202	411,099	461,504	428,568
Inventories	223,398	309,693	261,285	271,093	300,546	313,444
Others	496,621	496,621	496,621	496,621	496,621	496,621
Total Current Assets	**1,492,543**	**1,629,829**	**1,624,253**	**1,681,947**	**1,762,407**	**1,802,017**
Property, plant and equipment	4,497,965	4,379,787	4,282,849	4,200,590	4,131,807	4,075,408
Intangible assets and goodwill	2,469,025	2,469,025	2,469,025	2,469,025	2,469,025	2,469,025
Investments and other assets	683,414	683,414	683,414	683,414	683,414	683,414
Total assets	**9,142,947**	**9,162,054**	**9,059,542**	**9,034,976**	**9,046,652**	**9,029,864**
Accounts payable – trade	416,083	517,558	457,598	474,794	526,433	549,046
ST debt	581,693	581,693	581,693	581,693	581,693	581,693
Others	902,889	902,889	902,889	902,889	902,889	902,889
Total Current Liabilities	**1,900,665**	**2,002,140**	**1,942,180**	**1,959,376**	**2,011,015**	**2,033,628**
LT debt	1,648,323	1,648,323	1,648,323	1,648,323	1,648,323	1,648,323
Lease obligations	1,398,990	1,398,990	1,398,990	1,398,990	1,398,990	1,398,990
Others	546,773	546,773	546,773	546,773	546,773	546,773
Total liabilities	**5,494,751**	**5,596,226**	**5,536,266**	**5,553,462**	**5,605,101**	**5,627,714**
Shareholders' equity	2,634,255	2,552,112	2,509,560	2,467,798	2,427,836	2,388,434
Accumulated other comprehensive income	985,968	985,968	985,968	985,968	985,968	985,968
Others	27,968	27,743	27,743	27,743	27,743	27,743
Total Equity	**3,648,191**	**3,565,823**	**3,523,271**	**3,481,509**	**3,441,547**	**3,402,145**
Total Liabilities & Equity	**9,142,947**	**9,162,054**	**9,059,542**	**9,034,976**	**9,046,652**	**9,029,864**

Source: Company reports, Bernstein estimates and analysis.

EXHIBIT 17: **Seven and i: Cash Flow Statement**

Seven and i. - Cash Flow Statement (in JPY million, unless otherwise stated)	FY2025	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Net cash generated from operating activities	666,737	679,266	564,248	724,902	645,904	717,429
Net cash used in investing activities	(477,341)	(291,632)	(297,244)	(303,197)	(309,270)	(315,464)
Net cash used in financing activities	(1,109,878)	(358,704)	(323,424)	(329,717)	(336,033)	(342,316)
Exchange Gains (losses) on Net Cash	(3,185)	-	-	-	-	-
Total change in Cash	(923,667)	28,931	(56,419)	91,989	601	59,649
Cash and cash equivalents at period end	**438,634**	**467,565**	**411,145**	**503,134**	**503,735**	**563,384**
FCF (proxy)	363,407	395,298	274,443	429,144	344,073	409,403

Source: Company reports, Bernstein estimates and analyisis.

EXHIBIT 18: **Aeon: Income Statement**

Aeon Co., Ltd. - Income Statement (in JPY million, unless otherwise stated)	FY2025	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Revenue	**10,715,341**	**11,780,253**	**12,056,934**	**12,318,473**	**12,587,971**	**12,867,985**
Cost of sales	6,804,965	7,990,628	8,166,246	8,331,069	8,500,744	8,676,972
Gross profit	**3,910,376**	**3,789,625**	**3,890,689**	**3,987,404**	**4,087,226**	**4,191,013**
Total SG&A	(3,639,911)	(3,468,304)	(3,533,170)	(3,602,097)	(3,671,025)	(3,741,315)
Operating Profit	**270,465**	**321,321**	**357,519**	**385,307**	**416,201**	**449,698**
Finance costs and others	(63,003)	(91,687)	(91,687)	(91,687)	(91,687)	(91,687)
Profit before taxation	**207,462**	**229,635**	**265,832**	**293,620**	**324,515**	**358,011**
Income tax	(82,921)	(87,261)	(101,016)	(105,703)	(116,825)	(128,884)
Net Profit	**124,541**	**142,374**	**164,816**	**187,917**	**207,689**	**229,127**
Profit attributable to:						
Equity shareholders of the Company	72,683	76,234	95,029	114,293	130,030	147,226
Non-controlling interests	51,858	66,139	69,787	73,624	77,659	81,901
Basic EPS (JPY)	**27**	**28**	**35**	**42**	**48**	**54**
W.A. shares outstanding (mn)	2,705,211	2,705,211	2,705,211	2,705,211	2,705,211	2,705,211

Source: Company reports, Bernstein estimates and analysis.

EXHIBIT 19: **Aeon: Balance Sheet**

Aeon Co., Ltd. - Balance Sheet (in JPY million, unless otherwise stated)	FY2025	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Cash and deposits	1,350,037	973,020	991,339	977,574	1,076,734	1,083,051
Call loans / securities	1,290,498	1,290,498	1,290,498	1,290,498	1,290,498	1,290,498
Notes and accounts receivable - trade	1,887,611	2,324,556	2,259,906	2,298,090	2,241,693	2,291,559
Inventories	829,524	856,241	842,883	840,580	842,883	842,883
Others	4,320,032	4,320,032	4,320,032	4,320,032	4,320,032	4,320,032
Total Current Assets	**9,677,702**	**9,764,348**	**9,704,658**	**9,726,774**	**9,771,840**	**9,828,023**
PP&E	3,941,554	4,092,947	4,206,859	4,320,981	4,435,611	4,551,126
Intangible assets and goodwill	596,334	596,334	596,334	596,334	596,334	596,334
Investments and other assets	1,154,057	1,154,057	1,154,057	1,154,057	1,154,057	1,154,057
Total assets	**15,369,647**	**15,607,686**	**15,661,908**	**15,798,145**	**15,957,843**	**16,129,540**
Notes and accounts payable - trade	1,475,963	1,610,854	1,543,409	1,539,192	1,543,409	1,543,409
Deposits for banking business / ST funding	6,491,206	6,491,206	6,491,206	6,491,206	6,485,274	6,485,274
Others	1,318,376	1,318,376	1,318,376	1,318,376	1,324,308	1,324,308
Total Current Liabilities	**9,285,545**	**9,420,436**	**9,352,991**	**9,348,774**	**9,352,991**	**9,352,991**
Lease obligations	406,360	406,360	406,360	406,360	406,360	406,360
LT interest-bearing debt	2,950,455	2,950,455	2,950,455	2,950,455	2,950,455	2,950,455
Others	523,020	523,020	523,020	523,020	523,020	523,020
Total liabilities	**13,165,380**	**13,300,271**	**13,232,826**	**13,228,609**	**13,232,826**	**13,232,826**
Shareholder equity	1,025,695	1,128,843	1,250,511	1,390,965	1,546,445	1,718,142
Non-controlling interests / Others	1,178,568	1,178,568	1,178,568	1,178,568	1,178,568	1,178,568
Total Equity	**2,204,263**	**2,307,411**	**2,429,079**	**2,569,533**	**2,725,013**	**2,896,710**
Total Liabilities & Equity	**15,369,643**	**15,607,682**	**15,661,904**	**15,798,141**	**15,957,839**	**16,129,536**

Source: Company reports, Bernstein estimates and analysis.

EXHIBIT 20: **Aeon: Cash Flow Statement**

Aeon Co., Ltd. - Cash Flow Statement (in JPY million, unless otherwise stated)	FY2025	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Net cash generated from operating activities	1,126,953	133,419	543,744	526,436	654,889	578,466
Net cash used in investing activities	(1,088,664)	(471,210)	(482,277)	(492,739)	(503,519)	(514,719)
Net cash used in financing activities	40,093	(39,226)	(43,148)	(47,463)	(52,209)	(57,430)
Exchange Gains (losses) on Net Cash	13,007	-	-	-	-	-
Total change in Cash	91,389	(377,017)	18,319	(13,766)	99,161	6,317
Cash and cash equivalents at period end	**1,350,037**	**973,020**	**991,339**	**977,574**	**1,076,734**	**1,083,051**
FCF (proxy)	625,060	(280,945)	118,313	92,377	210,049	278,647

Source: Company reports, Bernstein estimates and analysis.

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VALUATION METHODOLOGY

Aeon Co., Ltd

We value AEON at 30x our NTM+1 EPS (¥37), with PT = ¥1,100

Pan Pacific International Holdings

We value PPIH at 25x our NTM+1 EPS (¥44), with PT = ¥1,100

Seven & I Holdings

We value Seven & i at 17x our NTM+1 EPS (¥124), with PT = ¥2,100

RISKS

Aeon Co., Ltd

Upside risks: group-wide synergies materializing beyond expectations, industry consolidation progressing faster than anticipated, Maibasket and international expansion outperforming, additional TOBs on remaining listed subsidiaries.

Pan Pacific International Holdings

Downside risk:

- Geopolitical setback to inbound demand
- Deterioration in overseas unit economics
- Integration execution and synergy worse than expected

Seven & I Holdings

Downside risk:

- Further deterioration of unit economics

Upside risks:

- Receiving acquisition bids
- Progressive execution through restructuring led by Itochu (trading house, parent of Familymart, Japan's #2 CVS chain)

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

EQUITY RATINGS DEFINITIONS

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Bernstein brand stock ratings are based on a 12-month time horizon.

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- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

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Those denoted as ‘Feature’ (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

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- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

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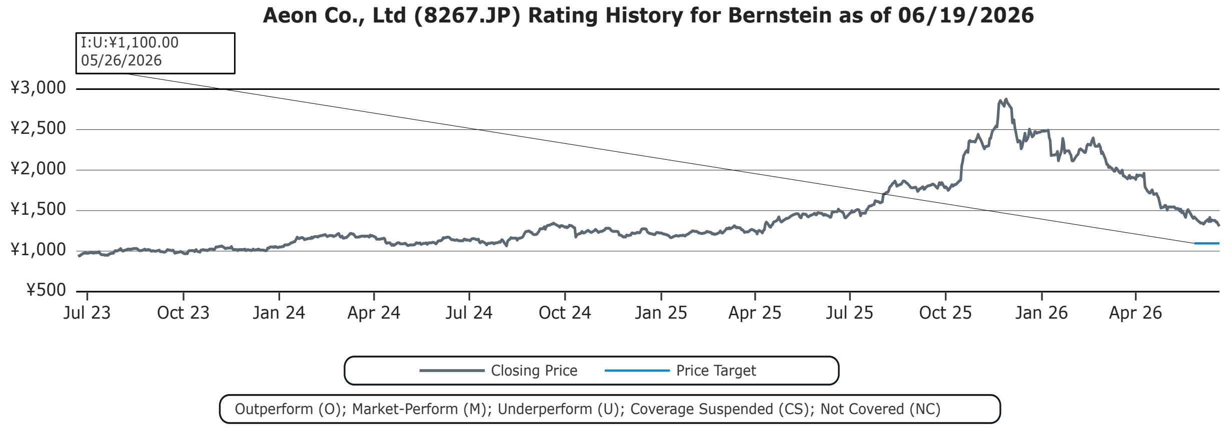
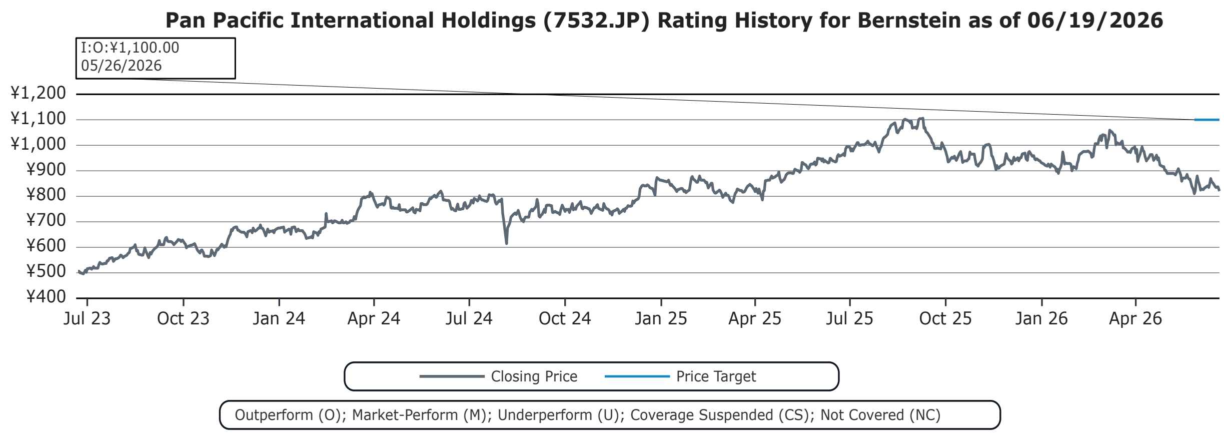
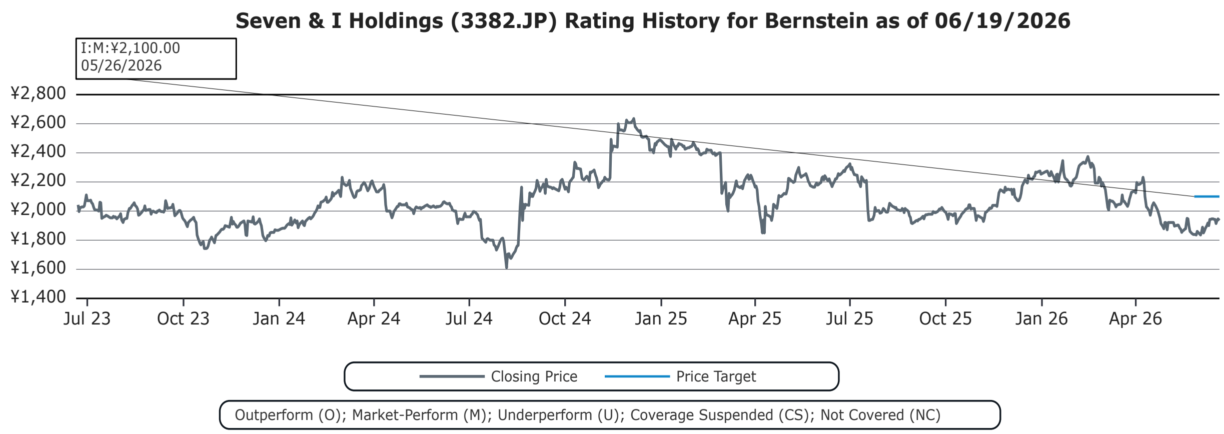
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	36.3%	17.8%
Underperform	SELL	12.6%	14.9%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
As of March 31, 2026. All figures are updated quarterly.

PRICE CHARTS / RATINGS AND PRICE TARGET HISTORY







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